markets. Central banks, by virtue of being financial sector regulators, have inside information on evolving developments. If they level with the markets on all they know, they risk triggering avoidable anxiety which could turn into panic. On the other hand, if they hold back information, they risk denying the market participants valuable time to make the necessary adjustment to the expected market developments. This is a fine line that central banks have to tread carefully.

Let me illustrate this with an example. The Reserve Bank had maintained all through the crisis months that the Indian financial sector was safe and sound. This was certainly true and the intent behind this assertion was to send a message of reassurance. But there was a concern too about whether such an unequivocal message was also spreading an unwarranted sense of complacency in the market and leading financial sector institutions to relax their guard. Was it not the responsibility of the Reserve Bank to keep the markets prepared for any unexpected development by mixing reassurance with caution?

Similarly, in those early months of the crisis, as the rupee was falling consequent on capital flight, a frequent question to me was whether we had enough reserves to defend the exchange rate. Even as you reassure the market that you do indeed have enough reserves to stem excess volatility, you do not want your reassurance to be interpreted as a commitment to defend a specific level of the exchange rate. That would be a moral hazard; assured of a stable exchange rate, they would pile on too much risk. This was a fine line that I had to tread carefully.

Another lesson we learnt is that even in a global crisis, central banks have to adapt their responses to domestic conditions. I am saying this because all through the crisis months, whenever another central bank, especially an advanced economy central bank, announced any measure, there was immediate pressure that the Reserve Bank too should institute a similar measure. Such straightforward copying of measures of other central banks without first examining their appropriateness for the domestic situation can often do more harm than good. Let me illustrate.